



Repositioning Alvora for profitable growth

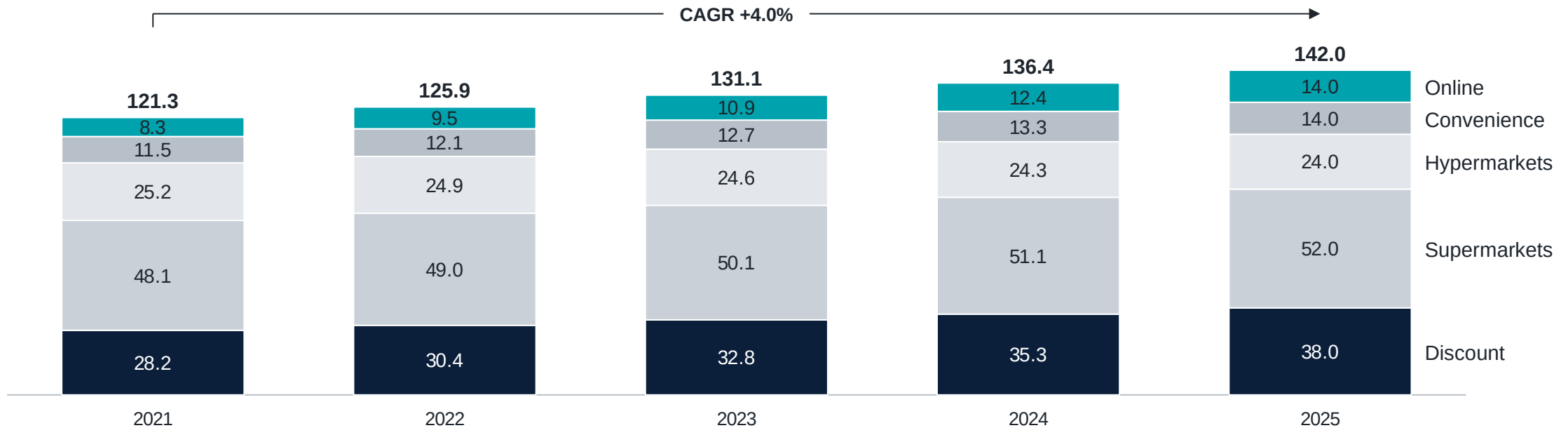
Board discussion: strategic options to restore EBITDA above €1bn by 2028

Alvora can restore EBITDA to €1,067M by 2028 if it repositions towards discount now

- | | | |
|---|---|---|
| 1 | The market grows 4% a year, but discount and online capture 75% of it | Iberian grocery reached €142bn in 2025; discount (+7.8% CAGR) and online (+14.0%) outgrow supermarkets (+2.0%). |
| 2 | Alvora is falling behind: growth of 3.0% is below the market for a second year | Its mix is 54% supermarkets and only 14% discount; share slipped to 9.6%. |
| 3 | Margin erosion in grocery and convenience cut EBITDA by €67M in 2025 | EBITDA fell to €857M (6.3% margin); fresh and food-to-go in Madrid and Catalonia explain most of the loss. |
| 4 | A discount banner, a pricing reset and a cost programme add €250M by 2028 | Three waves over 24 months; the board is asked to approve the banner pilot and the €85M programme budget. |

Discount and online captured 75% of Iberian grocery growth since 2021

Iberian grocery market by channel, €bn



What moves the market

Discount grows 7.8% a year on price-sensitive households

Online is small but compounding at 14% a year

Supermarkets grow at 2%, below food inflation

Hypermarkets shrink as trips move to proximity formats

Alvora's growth slowed to 3.0% in 2025, below the market (4.1%) for the second year

€13.6bn

▲ +3.0% YoY

Revenue 2025

6.3%

▼ -0.7pp

EBITDA margin 2025

9.6%

▼ -0.1pp

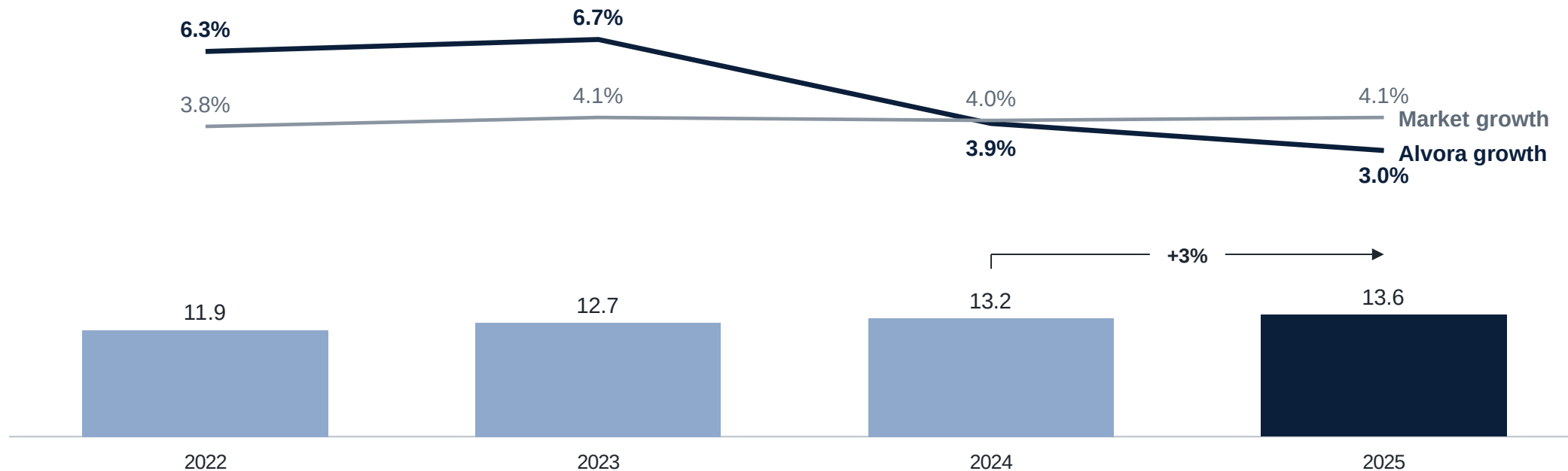
Market share 2025

+1.2%

▼ -1.8pp vs 2024

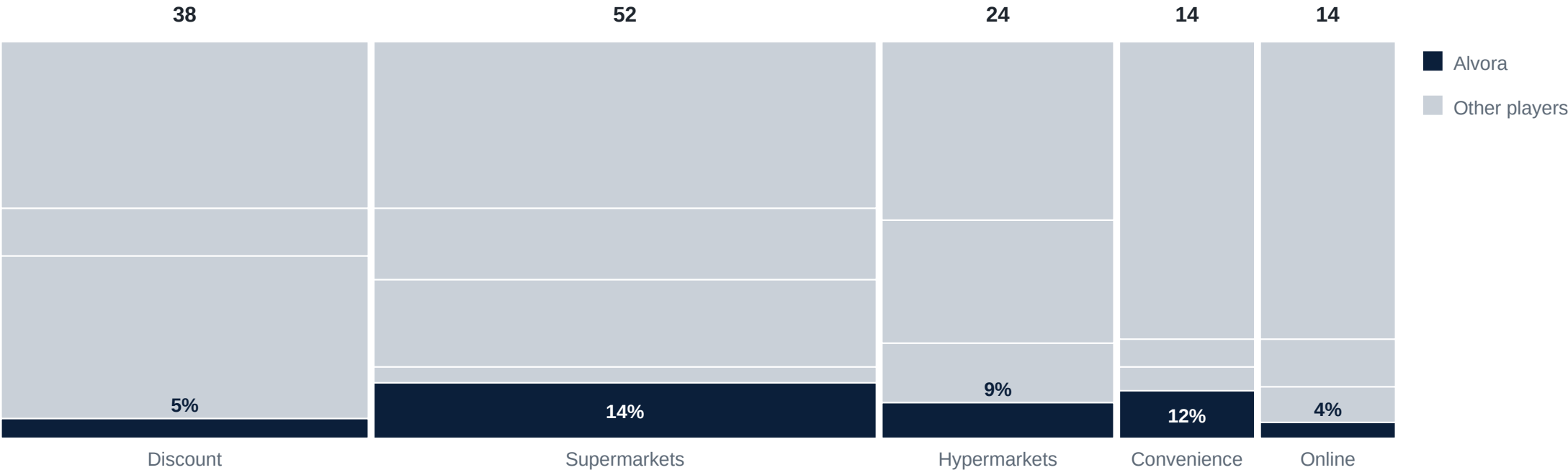
Like-for-like sales 2025

Alvora revenue and growth vs market, €bn, % YoY



Alvora holds 14% of supermarkets but only 5% of discount, the segment driving growth

Market share by channel, 2025, % of channel sales; width = channel size (€bn)



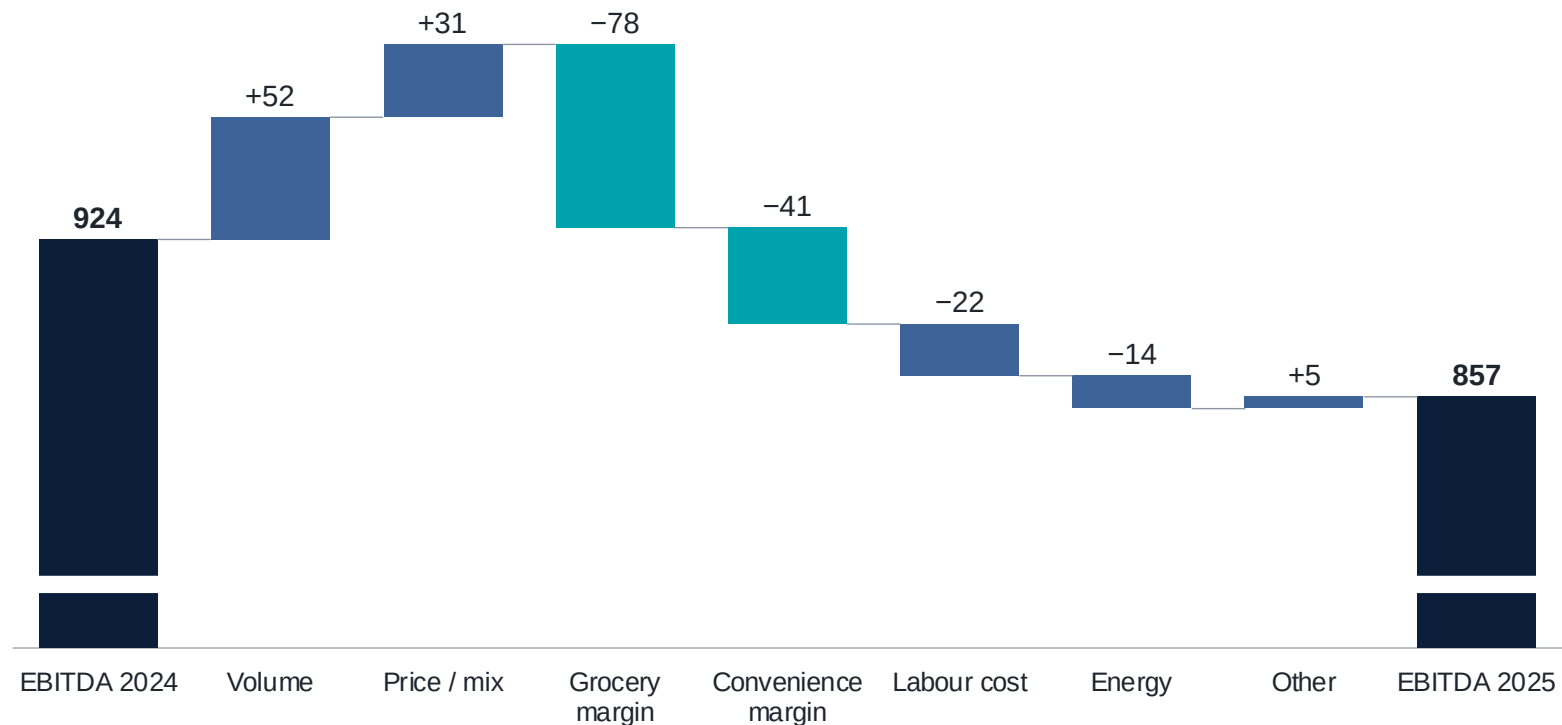
54% of Alvora sales come from **supermarkets**, a channel growing 2% a year

In **discount**, Competitor A holds 41% with a lower cost-to-serve

Online share of 4% trails B and C, whose hub networks are in place

Margin erosion in grocery and convenience (€119M) pushed EBITDA down to €857M

EBITDA bridge 2024 to 2025, €M



Two categories explain the decline

- **Grocery (–€78M):** promo intensity up 3pp to match discounters
- **Convenience (–€41M):** food-to-go waste doubled after the range extension
- Volume and price added €83M, not enough to offset cost inflation

The erosion concentrates in fresh and food-to-go, above all in Madrid and Catalonia

Gross margin change by category and region, 2025 vs 2024, pp

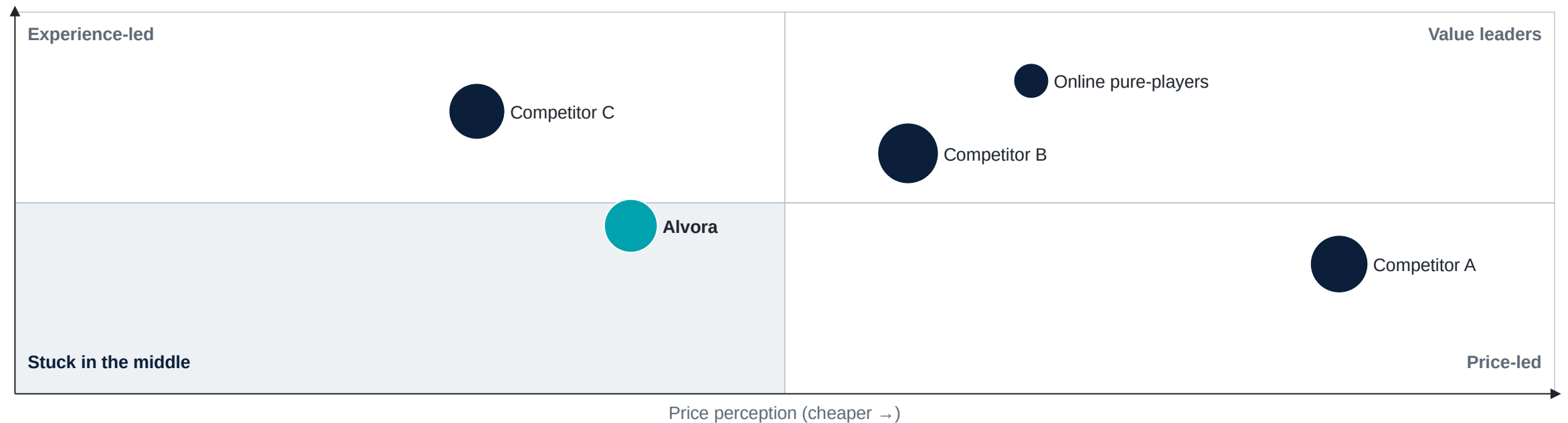
Category	Madrid	Catalonia	Andalusia	Valencia	North	Portugal
Fresh	-2.9	-2.6	-1.1	-1.0	-0.6	-0.4
Food-to-go	-3.4	-3.1	-1.4	-1.2	-0.9	-0.7
Ambient grocery	-0.8	-0.7	-0.5	-0.4	-0.3	-0.2
Drinks	-0.3	-0.2	0.1	0.0	0.2	0.1
Household & personal care	0.2	0.1	0.3	0.2	0.4	0.3
Total	-1.6	-1.4	-0.6	-0.5	-0.3	-0.2

Fixing fresh and food-to-go in two regions addresses about two thirds of the margin gap

Alvora is stuck in the middle: priced above discounters without a clear experience edge

Customer perception, 2025, index 0-1; bubble = revenue

↑ Store experience

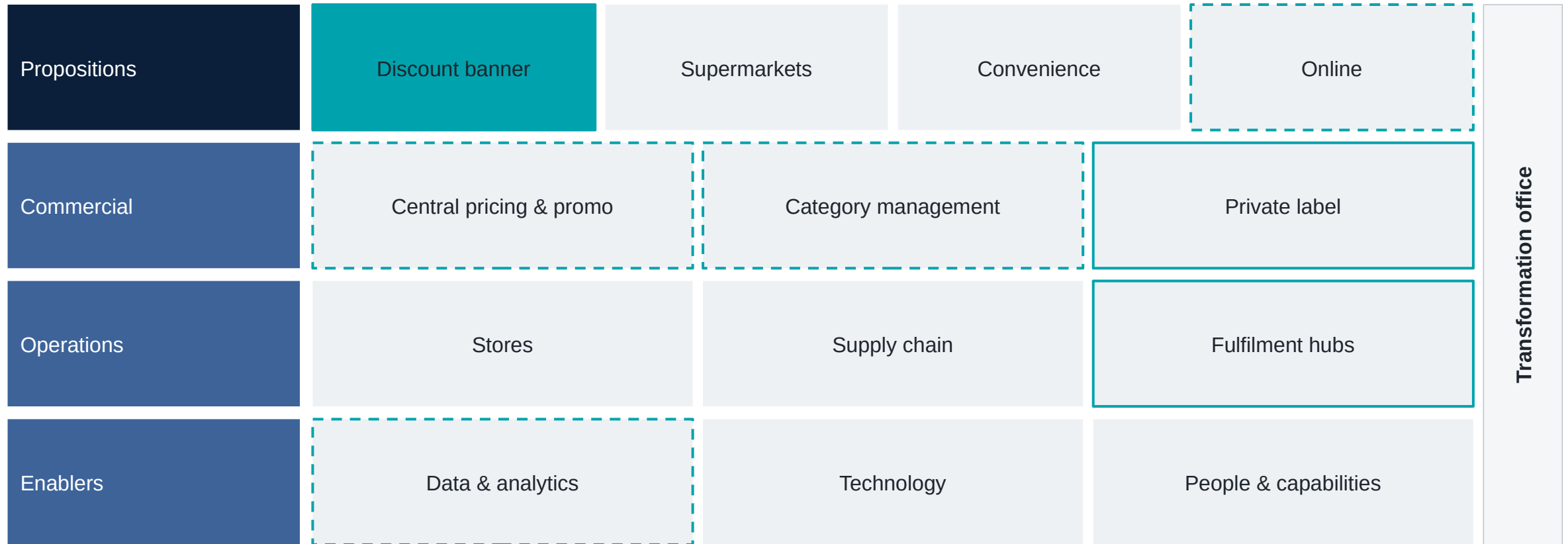


Alvora's prices sit **8% above** Competitor A on a comparable basket

Its experience score trails B and C on freshness and queues

Winning back price perception needs a separate low-cost format, not deeper promotions

The target model adds a discount banner and central pricing to fund the growth moves



New: discount banner, private label, fulfilment hubs

Changed: pricing moves to the centre; category teams own margin

A transformation office steers the programme

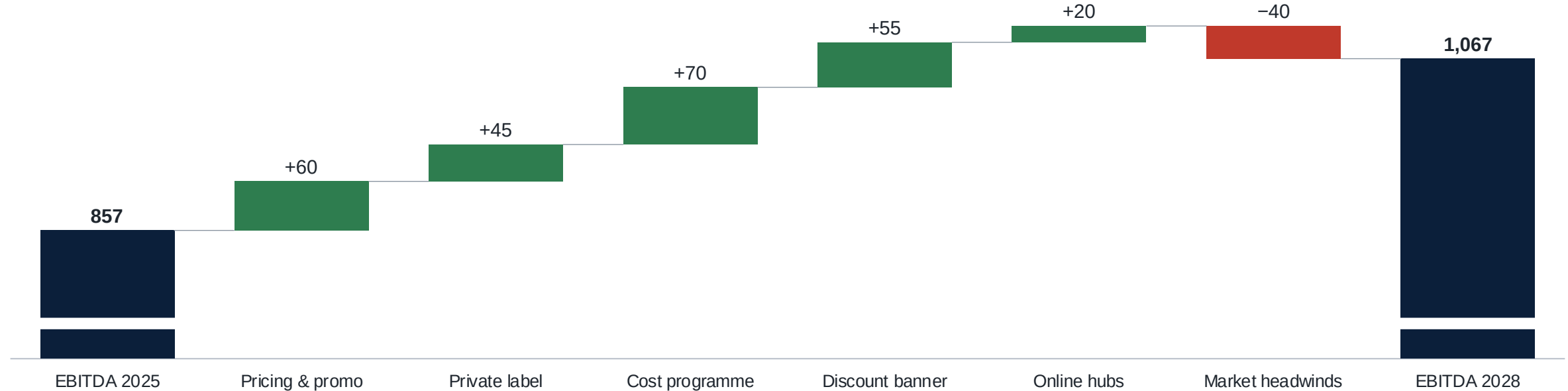
ROADMAP

A plan in three waves over 24 months secures quick margin wins before scaling the banner



Five initiatives adding €250M lift EBITDA to €1,067M by 2028, net of €40M market headwinds

EBITDA 2025 to 2028, €M



Cost and pricing levers deliver €130M of the uplift and are largely within management control

The board is asked to approve three decisions to start Wave 1 in January

Decisions requested today

Decision	Owner	Timing	EBITDA 2028 (€M)	Status
Approve pricing & promo reset across 1,200 SKUs	CCO	Jan 2026	60	
Approve discount banner pilot in 20 stores (€18M capex)	CEO	Q4 2026	55	
Approve €85M programme budget and transformation office	CFO	Jan 2026	135	

Wave 1 is self-funding by Q4 2026

The go / no-go on the banner comes back to the board in Q2 2027